

**UNITED STATES OF AMERICA
BEFORE THE
FEDERAL ENERGY REGULATORY COMMISSION**

Interconnection of Large Loads to the Interstate Transmission System	)))	Docket No. RM26-4-000
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COMMENTS OF CONSUMER ENERGY ALLIANCE

On October 27, 2025 the Federal Energy Regulatory Commission (FERC or Commission) issued a notice requesting public comments in this Docket after being directed by the Secretary of Energy pursuant to the Secretary’s Authority under Section 403 of the Department of Energy Organization Act. Consumer Energy Alliance (CEA) respectfully submits the following comments in response to the Commission’s Advanced Notice of Proposed Rulemaking (ANOPR).

I. Background

Founded in 2006, CEA is a nonpartisan, nonprofit organization advocating for balanced energy policy and responsible access to resources. CEA’s nearly 400 affiliate members, and thousands of individual members, represent virtually every sector of the U.S. economy – from the iron and steel industry to truckers, airlines, agriculture, labor organizations, restaurants, chemical manufacturers, small businesses, and families across the nation – that are concerned about U.S. energy policies, energy security, and long-term price and supply stability.

Our members support rational, all-of-the-above energy policy that utilizes all of our domestic natural resources – both traditional and renewable – while ensuring commonsense environmental protections are in place.

II. Comments

As an organization whose mission is to advocate for affordable, reliable and secure energy for families and business, CEA enthusiastically supports reforms that improve and expedite the siting of energy infrastructure – whether it be electric and gas transmission, electric generation or large-load interconnection. We commend both the Secretary of Energy and FERC for acknowledging the need to improve the large-load interconnection process. With that in mind CEA offers the following comments:

A. Avoid “one-size-fits” all solutions.

Market and regulatory structures vary from state-to-state and region-to-region with each having their own set of unique characteristics. States like California (CAISO), New York (NYISO) and Texas (ERCOT) are single-state restructured markets that not only operate differently from each other, but also differently than other RTOs/ISOs (e.g. ISO-NE/PJM/MISO/SPP) that have both vertically integrated and restructured states as participants; not to mention states like Florida which are vertically integrated and do not participate in organized markets.

Given the complexities and differences in these regulatory structures, FERC should avoid implementing rules that treat each jurisdiction the same. According to reports, many of the largest planned capacity hubs (by GW) are in vertically integrated states. As of mid-2025, vertically integrated states like Virginia (NOVA), Arizona (Phoenix), and Nevada (Las Vegas/Reno) together account for 13.6 GW of planned

capacity while fully restructured Texas (Dallas-Fort Worth) accounts for 3.9 GW.¹ As for Texas, both Google² and Vantage Data Centers³ are planning a combined \$65 billion in investments. Texas is also building out natural gas infrastructure in support of data centers as (pipeline) capacity agreements have been reached for projects like Fermi⁴ and Cloudburst.⁵ In Louisiana, Energy Transfer has entered into agreements with Entergy to supply natural gas to support ~1.5GW of natural gas-fired electricity generation which will power Meta’s planned data center in Richland Parish.⁶ Different market structures, similar results. Simply put, FERC should not preempt jurisdictions that are expeditiously connecting large loads.⁷

B. Ensure that growth pays for growth.

CEA agrees with the Secretary that “...load and hybrid facilities should be Responsible for 100% of the upgrades that they are assigned through interconnection studies.”⁸ This sentiment aligns with the cost causation principle of utility ratemaking which limits cross subsidies and protects system reliability by requiring that costs be borne by those who cause them.

C. Continue to employ the seven-factor test.

In the ANOPR, adherence to the Commission’s seven-factor test was the first of fourteen

¹ <https://www.techradar.com/pro/1-trillion-worth-of-data-centers-by-2030-us-leads-the-way-when-it-comes-to-colocation-and-hyperscale-capacity-report-posit>

² <https://www.reuters.com/business/google-invest-40-billion-new-data-centers-texas-bloomberg-news-reports-2025-11-14/>

³ <https://www.reuters.com/business/vantage-data-centers-plans-25-billion-ai-campus-texas-2025-08-19/>

⁴ <https://eastdaley.com/daley-note/energy-transfer-taps-into-texas-data-center-boom>

⁵ <https://finance.yahoo.com/news/energy-transfer-cloudburst-sign-agreement-123000538.html>

⁶ https://www.thecentersquare.com/issues/energy/article_83a0cdf3-fdc7-4eb4-9412-afe0455b9c45.html

⁷ CEA is not taking a position on which market structure is best positioned to most readily connect large loads. Clearly Louisiana and Texas have very different market structures, yet, large loads are looking to interconnect in both jurisdictions, with new generation facilities as well as (natural gas pipeline capacity) precedent agreements being reached to serve large loads. CEA is suggesting that FERC review which states/jurisdictions could most benefit from reforms that could speed up large-load interconnections.

⁸ See Secretary of Energy letter to FERC dated October 23, 2025 at P 12.

principles listed by the Secretary.⁹ In order to avoid unintentional consequences and creating uncertainty with regards to jurisdiction of large load interconnections FERC should continue utilizing the seven-factor test adopted in FERC Order 888:¹⁰

1. local distribution facilities are normally close in proximity to retail customers;
2. local distribution facilities are primarily radial in character;
3. power flows into local distribution systems; it rarely, if ever, flows out;
4. when power enters a local distribution system, it is not re-consigned or transported on to some other market;
5. power entering a local distribution system is consumed in a comparatively restricted geographic area;
6. meters are based at the transmission/local distribution interface to measure flows into the local distribution system;
7. local distribution systems will be of reduced voltage.

D. In deference to cooperative federalism FERC should only exert its jurisdiction as a backstop.

The United States' cooperative federalism system of government encourages collaboration between the federal government and the states. For this reason, FERC should only exert its jurisdiction¹¹ on large load interconnection when states have failed to act. Essentially, FERC should mirror its role in siting of interstate transmission when

⁹ See Secretary of Energy letter to FERC dated October 23, 2025 at P 10.

¹⁰ <https://www.ferc.gov/industries-data/electric/industry-activities/open-access-transmission-tariff-oatt-reform/history-oatt-reform/order-no-888>

¹¹ In *New York v. FERC* the Supreme Court, in supporting FERC decision not to insert its jurisdiction, holding that "FERC's decision not to regulate bundled retail transmissions was a statutorily permissible policy choice. Contrary to Enron's argument, FERC chose not to assert jurisdiction over such transmissions, but it did not hold itself powerless to claim jurisdiction."

considering large-load interconnections. For context, Congress first granted FERC a limited federal role in transmission siting through Section 1221 of the Energy Policy Act of 2005.¹² This law added Section 216 to the Federal Power Act (FPA), empowering the Department of Energy (DOE) to identify areas with severe electric transmission congestion—known as National Interest Electric Transmission Corridors (NIETCs)—and authorizing FERC to issue federal permits for certain interstate transmission lines in those areas when state processes fail. Congress authorizes FERC to issue a permit only if:

1. A state lacks authority to approve the project;
2. A state cannot consider interstate benefits;
3. A developer is not eligible to apply for state approval;
4. A state withholds approval for more than one year;
5. A state denies an application (added by 2021 amendments); or
6. A state approves the project but imposes conditions that make it infeasible.

E. Conclusion

As stated previously, CEA supports the Secretary’s goal of interconnecting large loads as expeditiously as possible while protecting existing electricity customers from rate shocks. A number of states, with different market structures, have already moved swiftly to enter into agreement to bring large loads to market. Respectfully, FERC should resist the urge to insert blanket jurisdiction on all large load interconnections and focus on reforms to markets that aren’t delivering timely interconnections. A one-size-fits-all

¹² <https://www.congress.gov/109/plaws/publ58/PLAW-109publ58.pdf>

approach could create regulatory morass and have the unintended consequence of delaying projects and not moving them forward in the manner desired by the Secretary.

Thank you for your consideration of these comments.

Signed on this day, November 21, 2025

David E Holt

A handwritten signature in black ink, appearing to read 'D. E. Holt', with a stylized, cursive script.

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